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Rethinking Postcolonial Capitalist Development

A Conversation between Kalyan Sanyal and Partha Chatterjee

Translated from the Bengali by Partha Chatterjee

Kalyan Sanyal (1951–2012) was a professor of economics at the University of Calcutta. Earning a doctorate from the University of Rochester, Sanyal had established himself professionally in the field of international trade theory. However, he also had a lifelong interest in Marxian political economy. In 2007, he published *Rethinking Capitalist Development: Primitive Accumulation, Governmentality, and Postcolonial Capitalism* (Routledge), a book that has since attracted a lot of attention around the world. It raised several fundamental questions about our understanding of capitalist growth in light of the recent experience of postcolonial development. Soon after its publication, the political theorist and historian Partha Chatterjee engaged Sanyal in a free-flowing conversation over two sessions on the issues raised by the book. The exchange was published in Bengali in the autumn 2007 number of the Kolkata journal *Baromas*. It has now been translated into English for *Comparative Studies of South Asia, Africa and the Middle East* by Partha Chatterjee.

Session One

Partha Chatterjee: Let's begin with your book that's just been published. There are several new and important themes in the book that could give rise to new debates. Let me begin with one of them. We could then move on to the others. You point out that in all discussion so far, whether in Marxism or modernization theory, there is a framework of transition. That is to say, there existed a traditional social system in various countries of the world that was replaced by the modern capitalist system. Marx described this as the transition from a precapitalist mode of production, feudalism for instance, to the capitalist mode. You are arguing that the recent changes that have taken place, or are now taking place, in the world cannot be understood within the frame of transition. Could you elaborate on this a little more?

Kalyan Sanyal: Look, when we were young, in the 1970s, we used to hear a great deal of despair in postcolonial countries like ours that there had not been a proper transition in the same way that capitalism had transformed everything in Western Europe and brought in an era of progress. Somehow we had missed that experience. The entire discussion then was about the reasons for the absence of transition, the necessary conditions of transition, etcetera. Now in these discussions, we had a particular characterization of capitalism—the same characterization as the *Communist Manifesto*, which described capitalism as breaking down the old social formations, revolutionizing them, building everything anew in its own image. The *Manifesto* spoke of capitalism breaking down the Chinese wall. In other words, we thought

of capitalism as wanting to build everything in its own image, not allowing anything to exist outside itself. This was capital's project. If it didn't happen that way, we thought of it as capitalism's failure. But I now think that this characterization is no longer appropriate. Capital today does retain many things outside itself; indeed, it often creates things outside itself. Because we don't see our imagined capitalism brought into existence, we call it capital's failure. We have to change this conventional yardstick to measure success and failure. We need a new characterization of capitalism where the transition from precapital to capital is no longer relevant. In other words, we need to get rid of the idea that an entire system must be replaced by another system.

Chatterjee: Let me clarify something here. We have a classical model of transition from feudalism to capitalism in Western Europe. Are you saying that the idea of transition is inappropriate even in that case?

Sanyal: This question has come up even in discussions abroad. For instance, in the writings of Michael Piore. His argument is that there are discontinuities even in Western capitalism in which there exist different subsystems whose logics are not the same as that of capital. In other words, when we think of the transition from one system to another, we assume a systemic oneness of each of those systems. Piore is challenging this idea of oneness and claiming that there is a discontinuity in the history of Western capitalism.

Chatterjee: In the received theories, this discontinuity was described as incomplete transition. Think of Marx's remarks on the French peasantry, for instance . . .

Sanyal: That's exactly the question. They were seen as failures of capital. These subsystems were seen as remnants of the past that had not gone away. But could it not be that these were endogenous to capitalism? Created by capitalism?

Apart from changing the yardstick for measuring success and failure, there is another motivation that has worked behind my book. There used to be a story about capitalist development that involved modes of production and classes. Today, in the age of globalization, much of that story that

Marxists have been telling us for so long has been superseded. That is to say, that story cannot find an audience any more. And yet I also see a huge storm of criticism beginning to blow against globalization. That criticism is not coming from political economists but from sociologists, ethnographers, urban geographers. They are trying to show that capitalist globalization is leading to the economic marginalization of huge numbers of people in third world countries. These people are being confined to a space of informal survivalism. Now this critique has no relationship to that earlier story. So I began to think of the possibility of bridging this divide between the classical narrative of political economy and the new sociological critique. More precisely, I began to explore the way one might travel from the one to the other. On the face of it, it is an impossible journey, because Marxists are still utterly enthralled by the transformative power of capital, which is why they feel compelled to call every lack of transformation an incomplete transition. But if we can get rid of this idea of transition, perhaps a bridging might be possible.

Chatterjee: So you are not saying that there has been some fundamental change in the nature of capitalism in the last ten or fifteen years—in the so-called phase of globalization—that is making capital think afresh in new ways . . .

Sanyal: No, absolutely not. This is not just a matter of globalization. Let me put this plainly. Our received ideas of capital had left out certain features that are now making it difficult for us to understand contemporary capitalism. We can in fact blame Marx's *Capital* for this . . .

Chatterjee: Marx, however, never used the term *capitalism*.

Sanyal: That is correct. In his *Capital*, Marx spoke of the capitalist mode of production. But the capitalist mode of production is universal. It has no outside. Its conditions of reproduction are fulfilled entirely within itself. That is where the concept of primitive accumulation is important. Peasants—that is to say, direct producers—are dissociated from the means of production, those means of production then enter the circuit of capital, and on the other side, the dispossessed

peasants become wage laborers in factories—this process is primitive accumulation. But after this transformation is accomplished, there is nothing left outside capitalist production. There are no ruins of the old system that had been destroyed. Everything dissolves into capital.

But what if I were to say that even though the means of production are included within the circuit of capital, the dispossessed people do not all find a place in it—that is to say, there is a surplus labor power that remains outside capital as the ruins of the old system? Marx says in the *Grundrisse* that primitive accumulation is the becoming of capital. In other words, I am going from capital's present to its past, to precapital. When capital becomes self-subsistent, the becoming remains suspended in the being. But if there is this surplus labor power, I cannot reach capital's being. Marx's *Capital* does not speak of these discarded people . . .

Chatterjee: But there is the reserve army . . .

Sanyal: I will come to the question of the reserve army. That is a concept that is part of the being of capital.

Chatterjee: Exactly.

Sanyal: Now, this outside consisting of the redundant surplus population that is separated from the old formation but cannot find a place in the new—it remains outside capital. That is to say, capital is economically self-subsistent. It does not need this surplus population. But capital is not politically or ideologically self-subsistent, because it is forced to address this outside politically and ideologically. Of course, one could say that in Western Europe, these people simply died, perished . . .

Chatterjee: Or were packed off to Australia . . .

Sanyal: Australia or America. Capital had no responsibility to keep them alive. But I will say that today capital cannot refuse that responsibility. In those days, no one had heard of human rights or democracy. But today they are a part of reality. Today, capital has to carry out primitive accumulation within those parameters. Hence, capital has to accept the responsibility of rehabilitating that surplus population. This rehabilitation is carried out by creating a new subsistence economy. Capital

takes a part of its surplus outside the circuit of capital to create this subsistence economy. It works through micro-credit, self-employment, self-help groups. But this is not the precapitalist organic unity of labor and the means of labor. It operates very much within the sphere of the market.

Chatterjee: You've called this "reversal of primitive accumulation." While reading your book, it occurred to me that this could give the impression that the situation prevailing before primitive accumulation was being restored. But that's not what you mean . . .

Sanyal: Not at all.

Chatterjee: In that case, instead of "reversal of primitive accumulation," it's probably more logical to call it "reversal of the consequences of primitive accumulation."

Sanyal: That's correct. It is in fact the reversal of the consequences of primitive accumulation. I have repeatedly emphasized in my book that this outside of capital is also embedded in the market. This cannot be understood by a historicist concept of precapital: this is a creation of capitalism. Studying the self-employed producer in the urban informal sector, the sociologist Stephen McGee called him a "peasant in the city." But that is not correct. This is not the peasant of the transition narrative because although he is now embedded in the market, he is still not part of capital. It becomes clearer if we call it the reversal of the effects or consequences of primitive accumulation.

Now this subsistence economy outside the sphere of capital where the surplus population is being rehabilitated is created in order to provide legitimation to capital. But at the same time, capital is also seeking to expand and hence tearing down the subsistence economies. What we have therefore is a process of simultaneous creation and destruction. This means primitive accumulation is an ongoing process; it is not the prehistory of capital. As a result, we cannot capture postcolonial capitalism in a framework that describes the becoming and being of capital. I am making a distinction here between capital and capitalism. Only when you add this new subsistence economy to capitalist production do you get capitalism. Capitalism is necessarily heterogeneous.

One more clarification is necessary. This reversal of primitive accumulation is not something like land reform. In the case of land reform, the land that the peasant had lost is returned to him. But in the process I am describing, instead of being reinvested as capital, a part of the surplus generated by capitalist production is transferred to the subsistence economy. The two processes are entirely different in character.

Chatterjee: But in order to carry out this reversal, it is necessary to bring in the state or the government, isn't it?

Sanyal: Exactly. State, government, or some other agency. Another argument in my book is that this reversal is effected through a discourse of development. This idea of development does not carry any adjective such as *capitalist* . . .

Chatterjee: Does that mean that development can take place through private capital as well as state capital?

Sanyal: Yes, the concept of development that has now come into circulation can be undertaken along the path of capitalism, socialism, or communism. At least in principle. But capitalism seems to be a more efficient path than the others. So the argument goes like this: development is being carried out through private capital, but if the other models could be made to work more efficiently than capitalism, then they could also be adopted. What's happening here is a depoliticization of the idea of development.

Chatterjee: Did this depoliticization become possible because the alternative paths to modernization that had been imagined in the twentieth century turned out to be failures? In that case, did socialism become the slogan for carrying out the primitive accumulation that private capital had failed to accomplish? Was that what happened?

Sanyal: The joke is that there was a transition from feudalism to capitalism via socialism. I have not discussed the USSR in detail in my book but that is exactly what happened there.

Chatterjee: In China too.

Sanyal: Yes, in China too. I have tried to show from the experience of planning in India in the

first twenty years that it was a depoliticized primitive accumulation without which the recent globalization of the Indian economy would have been impossible. But you asked if it was the failure of socialism that made the depoliticization of development possible. I will say, no. The international discourse of development from its very birth in the 1950s tried to describe it as a depoliticized process. It was the job of professional experts, of bureaucrats. It had no politics. It belonged to the realm of reason. Arturo Escobar has explained this very well in his book. The British Development Act was passed in 1929, but the discourse of development was put together by the Americans. It was wholly a product of the Cold War. Americans were worried that if poverty was not ended in Asia and Africa, the people there would move toward communism. The funny thing is that when there are agitations now in Singur [in West Bengal, 2006–7] over acquiring land for industry, it's being said that such agitations could never happen in China.

There is another important side to the discourse of development. As early as the 1950s, it was taken away from state agencies and governments and put in the hands of universities, research institutes, and specialized international organizations. The discourse was constructed in and disseminated from those institutions. Development became a genuine discourse of power-knowledge.

Chatterjee: You said earlier that those who lose their land and become marginal as a result of primitive accumulation now have to be fed and clothed—this responsibility comes from the idea of human rights that insists that everyone has a right to life and hence if people die of starvation somewhere, it is outrageous and condemnable. Development now has to be carried out within these preconditions. Did these conditions not exist in the 1950s?

Sanyal: No, they did not.

Chatterjee: You mean the belief then was that if these people continued to starve, they would turn communist, whereas now the idea is that it's a violation of human rights. Is that what you mean? Or is it that the real fear today is that they might become the dangerous classes?

Sanyal: Both are true. There is the responsibility to protect human rights just as there is anxiety about

the dangerous classes. The latter is similar to the fear of the people turning communist. Today there is no fear of communism but the threat of the dangerous classes is real. Now, in the early phase of the development discourse, the belief was that all would gradually be subsumed under capital. But with time, it became clear that the discourse had to face up to the continued presence of the outside of capital. There occurred a restructuring of the discourse. But the first moment was one where development simply meant accumulation . . .

Chatterjee: You mean that was the idea in the 1950s and 1960s.

Sanyal: That was the idea. The trajectory was given. What had been achieved in Europe in two hundred years had to be done in the third world in fifty. But by the late sixties and early seventies, it was apparent that while there was industrialization—many large and modern factories were being set up—nonetheless a great mass of people were being left out. They were neither in agriculture nor in modern industry. These excluded people were being enclosed in a new space between traditional agriculture and modern industry. As a result, there occurred a shift in the discourse on development. In 1973, Robert McNamara as president of the World Bank made a famous speech in Nairobi. In it, he said that absolute poverty had to be addressed not through accumulation but by a direct assault. This later became known as the basic needs approach. This was a major shift within the discourse.

We should also note that even before McNamara's speech, Indira Gandhi made the same move in the late 1960s, which ushered in major changes in the nature of the Indian state and politics. Indira Gandhi realized that if the Congress had to stay in power, poverty had to be addressed directly. Unlike in the Nehru era, it was no longer possible to persuade people that steel plants and fertilizer factories would get rid of poverty. That's when the slogan "Remove Poverty" was coined.

Chatterjee: Aimed at targeted groups . . .

Sanyal: Exactly, addressing targeted groups, which was precisely the reversal of the consequences of primitive accumulation.

Chatterjee: Absolutely right. That began from the decade of the seventies.

Sanyal: That got the endorsement of the World Bank in the Nairobi speech.

Chatterjee: There is an interesting political aspect here in terms of Indira Gandhi's own politics. It was at this moment in her career that the attempt was first made to bypass the power of the local and provincial leaders of the Congress and reach the poor directly. It was as though the government bureaucracy was bringing gifts for the poor directly from Indira Gandhi herself.

Sanyal: That's where governmentality in Foucault's sense begins in India.

Chatterjee: Exactly.

Sanyal: But the fact that poverty was not removed despite the growth of modern industry could have given rise to a political critique of capital. It was possible to have put in the foreground the reality that accumulation, whether in the private or the public sector, was being accompanied by primitive accumulation, that numerous people were being thrown out of their old livelihoods but not absorbed in the new sector of capital, and thus a radical critique of capitalist development could have been launched. But the tactics of governmentality effected a depoliticization of the whole question. Thus, the bureaucrats of the Planning Commission who were so long in charge of carrying out primitive accumulation were now asked to join the "Remove Poverty" program. This became the global discourse of development. Amartya Sen's work became central to the emergence of a new set of development practices. What we call development today was constructed in the 1970s to politically manage the victims of capital. The central problem of development became the political management of poverty.

Chatterjee: But these victims were not the reserve army of labor . . .

Sanyal: Not at all. This is what the Marxists refuse to understand. These victims are excluded. Moreover, this exclusion is permanent. A new sub-economy has to be constructed for them: that is the main concern of development. Marx's reserve

army is a concept that belongs to the being of capital, but these excluded people are a part of the becoming of capital. You cannot understand these excluded people with the concept of class. To do that, we have to get away from Marx's concept of class. Marx's idea of exploitation is irrelevant here: the excluded are not being exploited by capital. In fact, that is precisely the problem.

The distinctiveness of the present moment of globalization is the realization that a subeconomy must be created for the excluded. If one deconstructs the discourse of development, this is what one gets, and that's what I have tried to show.

Chatterjee: So you are saying that there is a split in the postcolonial capitalist formation in which there is capital's own space and another space that is a subeconomy . . .

Sanyal: Yes. I am calling the first the accumulation economy, which runs according to the logic of capital, in which the dynamic force is technical progress and accumulation. The subeconomy I am calling the need economy, which runs on a different logic—the logic of need or the minimum conditions of subsistence. These two economies lie next to each other. In one, there will be growth; in the other, there will be the distribution of micro-credit, promotion of self-employment, creation of self-help groups. The discourse of development now speaks of this new dual economy. Development will, on the one hand, foster growth in the accumulation economy and, on the other, rehabilitate the excluded in the need economy. Together, the accumulation economy of capital will be legitimized, made acceptable.

Session Two

Chatterjee: In view of what you've said so far on the idea of development and changes in that idea, tell me how we should look at what's been happening in India in the last ten years or so. On the one hand, the Indian economy is being globalized and, on the other, so-called liberalization is breaking down state regulations and the public sector and creating a new structure. The result is a growth rate of 8 or 9 percent. Now tell me, if we continue to have this kind of growth, if primitive accumulation tears away millions of people from their

traditional livelihoods and makes them marginal, if they don't find a place in the growth economy, then, first, what are the new techniques of governmentality that are coming into view, and second, what would be the political implication of these networks of governmentality?

Sanyal: This is the crucial question. The phase of primitive accumulation through planning has come to an end in India. Indian capitalists have now become adults. Hence, it's being said, take away state controls and leave everything to them. They can carry out primitive accumulation by themselves, even though the coercive power of the state might have to be used if necessary, as in Singur, Nandigram, or Kalinganagar.

Now, in the last ten years, we have moved from the 3.5 percent Hindu rate of growth to 6, 7, and now 9 percent. But as early as 1996–97, it was apparent that what was happening was a jobless growth: while there was growth, there was also increasing unemployment. During the Tenth [Five-Year] Plan, a task force was created under Montek Singh Ahluwalia to look into employment. The task force concluded that the unemployment problem would be resolved through growth. But the Planning Commission was not satisfied by this report. It created another task force under S. P. Gupta. The second task force came up with a completely different recommendation. It said that the organized formal sector in which the growth was mainly taking place could not generate more employment. That would have to be done in the informal unorganized sector. Eight out of ten new jobs were in fact being created in the informal sector. Hence, the informal sector would have to be supported.

This was a very important step. For the first time, a discontinuity in the economy was being acknowledged. Development was no longer premised on the oneness of the economy. This marked an end to historicism in the discourse of development.

Chatterjee: So you are saying that there was no longer the idea that the informal was merely the traditional, that development must mean the reduction of the sphere of the informal . . .

Sanyal: Not only has that idea disappeared but in fact it was now being suggested that the informal

must be promoted. Marxists still insist on describing the informal as the persistence of antecedent modes of production, which I think is completely wrong. This informal sector is embedded in the market, it is endogenous to capitalism. In fact, you could say it is the internal “other” of capital.

Chatterjee: But we also see today that parts of the capitalist production process that were earlier carried out within the factory are now being subcontracted or outsourced to the informal sector by using new technologies or new managerial techniques.

Sanyal: Yes, but we must remember that is an informalization within the circuit of capital. That is not disturbed by primitive accumulation.

Chatterjee: No, that’s not disturbed . . .

Sanyal: Because that is within the conditions of existence of capital. What I am talking about is the huge informal sector that lies outside the circuit of capital and parallel to it.

Until 2004, the NDA [the BJP-led government of the National Democratic Alliance] had supported a ruthless regime of primitive accumulation. There was no thought given to rehabilitation. But there was a dilemma on this question in the Congress. If you look at the Common Minimum Programme of the UPA [the Congress-led United Progressive Alliance that came to power in 2004], it is speaking of reviving *khadi* [handwoven cloth from hand-spun thread], providing social security in the informal sector. In other words, it is bringing to the forefront the space of governmentality.

Chatterjee: Of course, the Left was a major force in the UPA . . .

Sanyal: That is a very interesting point. The Left had never won so many seats in parliament before, not even in the heyday of the Left. This sudden importance of the Left was not because of its socialist ideology. It was because the victims of primitive accumulation had to be rehabilitated in a need economy and the Left was expected to be the most active party in this matter.

This year, I heard Chidambaram [the Congress finance minister] answering questions from our corporate bosses. They were complaining that

they had got nothing from the government’s annual budget. Chidambaram told them that now that people had more money to spend, they were buying refrigerators, televisions, cars, and so the corporate houses were growing phenomenally. Now you are on your own, he said. I must now pay attention to the other side, to the hundred-days-in-the-year rural employment guarantee scheme, for instance. So these pulls and pushes are taking the Indian economy in different directions. But through all of this, a new regime is materializing that is the complex of the accumulation economy and the need economy. I am calling this the post-colonial capitalist formation.

Chatterjee: What about West Bengal?

Sanyal: The question is most sharply posed in the case of West Bengal. On the one hand, land is being taken away to build factories. This is the classical model of primitive accumulation. Though land losers are being given compensation, those who are losing their livelihoods—most of them, at any rate—will never get into that space of capitalist production. So a need economy must be created for the excluded people. But the government or the ruling party is paying no attention to that. I will say that in terms of their attitude, the CPI(M) [Communist Party of India (Marxist), in power in West Bengal in 2007] is still stuck in a politics of transition—that old debate between a national democratic revolution and a people’s democratic revolution. That politics is now irrelevant. What is important today is the politics of exclusion: the excluded have to be addressed. In the last chapters on primitive accumulation in *Capital*, vol. 1, Marx clearly stated that no matter how bloody and cruel the process, it was breaking down an old and stagnant order and ushering in a new and dynamic capitalist mode of production: it was a good thing. In other words, a transition was taking place where peasants were becoming factory workers.

When the CPI(M) says, why should the son of a farmer remain a farmer, he wants to work in the factory, it is thinking in terms of that transition scenario and echoing the words of Marx, or perhaps of Lenin speaking against the Narodniks—without fully understanding the implications. I will take the risk of saying that there is no reason to

think that those words of Marx and Lenin have any relevance today. To tell you the truth, those words are acting as an impediment in gaining an understanding of our present reality. They are hindering our understanding of the politics of exclusion.

Chatterjee: Does that mean then that if governmentality can perform its necessary functions, the so-called capitalist development will be successful?

Sanyal: One has to think of much more imaginative forms of governmentality. If you take the instance of West Bengal, you'll see that government intervention is still confined to the field of public goods and public services. But we have to make livelihood a target of governmentality.

Chatterjee: I can see the need for imaginative governmentality. But would that be purely a matter of administration, or should there be a role for social and political organizations?

Sanyal: Of course there should be such a role—a hundred times. This is not merely a matter of administration; there is a need for political agency. The difficulty is that governmentality tends to reduce the whole thing to administration. Look at the scandal that was perpetrated in Nandigram when bureaucrats tried to acquire land. This can't be done just by administration; there is need for political mediation. The problem here is that the accumulation economy is dominant; the need economy has been confined to the margin. If politics comes in, it will try to assert the autonomous space of need. If the need economy seeks to expand, it will create a tension with the accumulation economy and question its dominance.

Chatterjee: I think it won't create a new tension: the tension is already there. Just look at how this tension is expressed. The pushes and pulls of governmentality—who gets a benefit and who doesn't, where the road is going to be built—these tensions and their associated politics are not as clear as the politics of civil society. Here it is not clear who has what right, who has legal title and who doesn't—none of this is clear. What you call the need economy will have autorickshaw drivers using adulterated diesel that will increase pollution; they will probably not have proper licenses

for which they will bribe the police. Their activity will be viable only by fulfilling those conditions. This comprises the greater part of the so-called informal sector . . .

Sanyal: The same could be said of street vendors.

Chatterjee: Exactly. There is a politics behind that too. Political leaders will negotiate over this with the police. From the point of view of corporate capital or civil society, the terms of this politics seem terribly messy. It involves corruption, clientelism, bargaining that often leads to violence. So what you are saying about the split between a formal sector and a messy informal sector has become a major part of contemporary politics. But here's something we see plainly before our eyes. The urban middle and upper classes who are the beneficiaries of the growth of the accumulation economy—those who are the main votaries of growth—their criticism of the practices of governmentality has now almost become a criticism of politics itself. For them, politics means all the illegalities, corruption, crime, and partisan conflicts associated with the business of elections. A general revulsion has built up toward politics. How can we say that democratic politics is creating a climate of legitimacy for capital? Rather, what's being created seems to be its opposite. It's puzzling.

Sanyal: These people may be saying that politics is spoiling everything, but they don't realize that no matter how terrible, it is this politics that is proping up their accumulation economy.

Chatterjee: But what if the people in the accumulation economy who now have a stake in the growth process were to say, in the same way that you quoted Chidambaram who said, "You are on your own"—what if they were to say, "We are on our own. We don't need the government or the state. We will build an enclave for ourselves and live there. Let the government be occupied with its politics of how to win votes. We will accumulate in our enclaves. What you do outside is of no concern to us." What then?

Sanyal: There are certain essential things for which the accumulation economy needs the government or the state. If it wants land, the state has

to acquire it. If it wants to enter the retail trade or stop Walmart, it must get the help of the state. The state is still necessary to ensure accumulation. Capitalists cannot say, we are on our own.

Chatterjee: But there is no requirement that this state must be democratic, is there?

Sanyal: No, there isn't.

Chatterjee: Now let me point out some examples of what I see happening right in front of our eyes. Look at what's happening in Thailand or Bangladesh. Thailand is a good example for me because that country has gone through a growth process like this in the last ten years. But the army there is not allowing the elected prime minister to enter the country. The bureaucratic elite in Bangladesh is telling the two major political parties in that country, you are out, we will run the place. So my question is: is there a tendency in this growth process that is inherently authoritarian, that refuses to put up with the messy business of democracy? If the excluded have to be fed, let the authoritarian ruler do it: you are prohibited from launching movements on that issue.

Sanyal: That tendency is possible. It could be said that we don't need this chaotic democracy—we can get experts who will do the calculations, design the plans, and manage poverty on our behalf. The problem there is one of information. The advantage of democracy is that information becomes available quite easily. What we are calling messy politics also tells us what is required at which place for the need economy. It's only when agitated people stop traffic on the street that the Calcutta Municipal Corporation realizes that there's a problem with the water supply in that neighborhood.

Chatterjee: You are sounding here like Amartya Sen, who said that there is famine in China but not in India because we have a free press . . .

Sanyal: But what he said is true. Notice how the NGOs became so important at a certain point of time. Why was that? Because they supply information from the grassroots that is useful for poverty management. It's the NGOs who are now acting as mediators between capital and the need economy.

Chatterjee: This means that the so-called messy democracy—why do I say “so-called”? It's obvious that it is messy—this messy democracy is actually expressing a certain rationality of contemporary capitalism. One can rationally govern only through this kind of democracy.

Sanyal: And that's where the ambivalence of post-colonial capitalism becomes clear. What is essential for its existence is also a constant source of irritation: it is a messy democracy that is keeping capitalism alive. This messy and chaotic outside of capital must be addressed politically. Because that outside is pointing to many new possibilities. If Marxists don't get out of their old imaginaries, they will not be able to grasp these possibilities. Marxists have never acknowledged that there could be a critique of capital from the outside. At the time of the industrial revolution in Europe, artisans revolted against capital because it was destroying their means of livelihood—the jacquard loom workers in France, etcetera. But Marxists always demoted those struggles to an inferior rank, because they had that idea of transition that told them that everything outside capital was precapital and hence reactionary, opposed to progress. The resistance to capital could only come from within—that is, from the proletariat. But the radical mobilizations we see today are against primitive accumulation: they are outside capital but from within capitalism. There is a qualitative difference between these struggles and the artisan movements at the time of the industrial revolution. Today's need economy is not the old artisan economy. These democratic struggles are coming from capitalism's internal contradiction. We cannot understand this if we continue to allow the nineteenth-century ghost of the industrial revolution to ride on our shoulders. This is why Medha Patkar has been stuck with the antiprogress label. There may be many reasons to criticize Medha Patkar; I don't necessarily endorse her views on development. But to call it antiprogress is to refuse to understand the radical critique, the many possibilities of radical mobilization, against capital. Those possibilities remain hidden in this messy democracy, which is often the reason for our irritation.

Chatterjee: We've had a long chat. We need to stop now. In talking about the recent changes, we may have overstressed the newness of our contemporary situation. It's possible that these changes have come about more gradually over a longer period of time. What's clear to us, however, is that we cannot any more understand contemporary India with the help of the analysis of capitalism and its incompleteness made thirty or fifty or a hundred years ago. Perhaps others will now join this debate. ■■■■